

Digital Assets Pulse

Open USD: Share the yield, share the hype

Digital Assets
Global

- ◆ Open USD, a newly announced stablecoin project, has a different business model to incumbents like USDT and USDC
- ◆ We look at it based on innovation, competition and adoption
- ◆ The key will be whether OUSD fosters greater adoption

News that caught our eye

Global enterprise consortium launches new global stablecoin

A consortium that includes BlackRock, Visa, Mastercard, Stripe and Coinbase has launched a stablecoin initiative called Open Standard. The group said it has more than 140 participating businesses and plans to issue a USD-pegged stablecoin, Open USD (OUSD), which is expected to go live later in 2026. Open Standard said it aims to speed up global stablecoin adoption by removing practical barriers for businesses, including enabling partners to mint and redeem OUSD with no fees and no volume limits. Revenue earned on the reserves backing OUSD will be shared among partners, minus a management fee to cover operating costs (Reuters, 30 June 2026).

Why it matters

The arrival of "Open Standard" and its planned new stablecoin, Open USD, is a significant development for the stablecoin ecosystem. We think it is best viewed along three parameters, namely innovation, competition, and adoption.

Innovation. It is noticeable that a lot of the media coverage of this announcement focuses on the contrast between the business model of the main incumbent stablecoins, Tether (USDT) and Circle's stablecoin (USDC), and that of OUSD. The key difference is that Tether and Circle retain the income generated by the reserves held against their stablecoin issuance, whereas OUSD will mostly share that income among its 140+ partners. In essence, it means reserve income accrues to the distributors of the stablecoin rather than the issuer of the stablecoin. An additional difference is that OUSD will not charge for minting or redeeming its stablecoins, whereas Tether and Circle can apply redemption fees.

On the face of it, this is a significant innovation because it is clearly quite different from the business model of Tether and Circle. In reality, it is not especially new. The Global Dollar Network (USDG) was launched in 2024 and could be considered the first serious consortium stablecoin. At launch, there were only seven founding partners in the USDG consortium but now there are over 130. Critically, the business model of USDG has always been to redistribute the returns generated from the assets backing USDG to the consortium's partners. So OUSD may be different from Tether and Circle's single issuer stablecoin model, but it is not a new approach.

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So, we would not overplay the “innovation” aspect of this announcement. However, it is a reminder that while many stablecoins are pegged to the USD, this does not make them all identical, an issue we dig into more in a related report (see [Not all stablecoins are created equal](#), May 2026).

Competition

Competition: The Open Standard announcement also resonates with a theme we expected to feature in 2026. In our preview of key themes for digital assets in 2026 (see [Digital Assets: What matters in 2026](#), January 2026) we argued that competition in the stablecoin market was likely to intensify as adoption rose. We noted “it is no longer a question of relevance for stablecoins, it is about scale and competition. Forecasts of a multi-trillion dollar stablecoin market are feasible but require an adoption surge soon, and stablecoin incumbents will face greater competition from TradFi.”

Circle’s share price dropped sharply following the announcement of OUSD, most likely as the OUSD model directly challenges Circle’s approach of retaining revenue generated by its reserves. The involvement of Coinbase in the new initiative may also have played a part as Circle and Coinbase partner to promote USDC on the Coinbase exchange. One angle, therefore, is that Coinbase may be incentivised to promote a competitor to USDC or alternatively renegotiate terms with Circle. Stablecoin issuers arrived as disruptors to traditional finance. Now a consortium, including traditional finance players, is potentially disrupting incumbent stablecoin issuers.

Quite how challenging the prospective arrival of OUSD on the scene will prove to the incumbent players is uncertain. As noted earlier, a consortium stablecoin that distributes its reserve income to partners already exists. However, its market cap is currently just USD3bn compared to USD185bn for USDT and USD74bn for USDC. Given the market cap of a stablecoin directly reflects the demand for that particular form of tokenised money, it is not obvious that the consortium issuer model necessarily fosters a distribution surge that, in turn, drives up demand. In other words, sharing the revenue from assets was not enough to drive adoption. Incumbent stablecoins enjoy strong network effects that make them hard to displace.

Perhaps it will be different this time. The initial founders of USDG were largely crypto-native players, including exchanges, trading firms and infrastructure providers. OUSD has a broader selection of partners that includes global payment networks, major tech platforms, banks, asset managers, crypto infrastructure plays, and enterprise software developers. If these companies commit to using OUSD in products, it could have a distribution footprint that USDG never had.

Adoption

Adoption: While there could be a debate about how innovative OUSD will prove, or how disruptive a challenge to incumbent stablecoin issuers it will be, it is clear that this is another example of rising adoption of stablecoin infrastructure within finance. This can shift the reality of who the winners and losers are. If OUSD fosters wider adoption of stablecoin technology as a payment rail for businesses and consumers, then all stablecoin players may benefit. If OUSD shows the consortium partner model is the most effective, it may see USDG benefit in parallel. It could also speed progress in project Qivalis, the initiative among 37 financial institutions to develop a EUR-denominated stablecoin settlement asset within the regulated banking system. All ships may rise.

This would be significant after a year in which stablecoin market cap has risen by only 25% despite all the excitement around the topic (e.g. Genius Act in the US, and regulatory clarity elsewhere). This reflects how stablecoins are still mostly used for trading crypto currencies, a market which has been soft for much of the last 12 months, thereby limiting demand for additional stablecoins. It is possible the OUSD opens the door to greater institutional adoption of stablecoin rails by businesses and financial market players.

Other noteworthy news

UK finalises landmark crypto framework with capital and market abuse rules, The Block, 29 June 2026

The UK's Financial Conduct Authority (FCA) finalised a wide-ranging crypto regime covering prudential requirements, market abuse controls and stablecoins. The rules apply across regulated cryptoasset activities, including trading platforms, dealing and arranging, custody, stablecoin issuance, lending and borrowing, staking, and certain decentralised finance (DeFi) models, where there is an identifiable controlling entity. The FCA also removed a previous exemption that allowed fungible cryptoassets to be listed without a disclosure document. The regime introduces requirements aimed at tackling insider dealing and market manipulation. For stablecoin issuers, the framework sets rules around reserve backing, safeguarding arrangements, redemptions and customer disclosures. The FCA said firms can apply for authorisation between 30 September 2026 and 28 February 2027 to prepare for the new regime.

US Senate timeline for crypto bill tightens as July agenda fills up, The Block, 25 June 2026

The path for the CLARITY Act is narrowing as the US Senate faces an overcrowded legislative calendar heading into the August recess with bills across various sectors like defence, farming and housing that command Senate time. With limited floor time available before lawmakers leave Washington, crypto legislation is vying for a slot. Senator Cynthia Lummis said she expects a Senate vote in July. The proposed market structure legislation would establish a comprehensive federal framework for digital assets, splitting oversight between the US Securities and Exchange Commission (SEC) and the Commodity Futures Trading Commission (CFTC), with the CFTC expected to have primary authority over most digital assets. The House passed its version of the CLARITY Act about a year ago, but the Senate opted to pursue its own bill, which has since advanced through both the Senate Agriculture Committee and the Senate Banking Committee. Some Democrats supported the bill in committee while arguing it should include an ethics provision restricting the president, vice president, lawmakers and other federal officials from certain digital-asset-related financial transactions.

EU committee backs digital euro law and fast-tracks final negotiations, CoinDesk, 23 June 2026

The European Parliament's Economic and Monetary Affairs (ECON) committee approved the legal framework for a digital euro. The body instructed that negotiations between EU member states and Parliament begin immediately to finalise the legislation. The European Central Bank (ECB) will now run a twelve-month pilot using a beta version of the system to test infrastructure in real-world settings with selected merchants and payment service providers. A key objective is to strengthen the bloc's monetary autonomy, with ECB President Christine Lagarde previously arguing that a central bank digital currency (CBDC) could help counter the growing influence of USD-pegged stablecoins such as Tether's USDT and Circle's USDC.

Bank of England softens stablecoin proposals, Yahoo Finance, 22 June 2026

The Bank of England (BoE) has adjusted its proposed stablecoin framework. It removed previously floated holding limits and introduced a temporary cap of cGBP40bn of issuance per systemic stablecoin, aiming to balance innovation with financial stability. Earlier proposals would have limited individual stablecoin holdings to GBP20,000 and business holdings to GBP10m, but these limits have now been dropped. The updated approach also gives issuers more

flexibility in reserve management. It allows up to 70% of backing assets to be held in short-term UK government debt, up from 60% previously proposed. The remaining 30% can be held as non-interest-bearing deposits at the BoE. The BoE maintained a requirement for redemption at par within 24 hours. The article said the BoE will continue to take industry feedback until 22 September, with stablecoin launches potentially starting as early as 2027.

US SEC set to consider 'innovation exemption' for tokenised stock trading, Reuters, 17 June 2026

The US Securities and Exchange Commission is preparing a policy shift that could allow crypto firms to offer blockchain-based versions of existing US stocks, potentially reshaping parts of the equity market. Industry participants expect SEC chair Paul Atkins to unveil an "innovation exemption" that would let firms test new digital-asset business models without complying with all existing SEC disclosure and investor-protection requirements. A key expected outcome is permission to trade tokenised versions of listed US equities. Coinbase and other major crypto firms have indicated they plan to launch tokenised stocks in the US if rules permit. Robinhood, Kraken and other exchanges already offer tokenised stocks outside the US, and Coinbase said it would soon launch similar products overseas. However, some regulators and traditional market participants have raised concerns that tokenised stock trading could introduce new risks, depending on how exemptions are designed.

Related research notes

[*VIDEO: Talking Digital Assets: Not all stablecoins are created equal*](#)

<https://www.research.hsbc.com/R/84/rctX6MgHNBtVj>, 12 May 2026

[*Digital Assets Insights: Not all stablecoins are created equal*](#), 7 May 2026

[*Digital Assets Insights: Tokenised gold: from acorn to oak tree*](#), 7 April 2026

[*Ethereum & Smart contracts: An explainer*](#), 4 March 2026

[*Digital Assets: What matters in 2026*](#), 5 January 2026

[*Digital Assets Insights: Tokenised deposits key to PBOC's digital RMB plan*](#), 30 December 2025

[*Digital Assets Insights: Stablecoins retain their grip on earnings season*](#), 17 December 2025

[*A bitcoin explainer: ...and why you need to understand crypto 'keys'*](#), 29 October 2025

[*Digital Assets Insights: Stablecoins: a banking buzzword in earnings season*](#), 9 October 2025

[*A blockchain explainer: Digital Assets Insights*](#), 16 September 2025

[*Digital money: multipolar: Why tokenized deposits may be the sleeping giant*](#), 20 August 2025

[*Digital assets in Hong Kong: Why do stablecoins matter? Five FAQs*](#), 20 August 2025

[*A stablecoins explainer: Digital Assets Insights*](#), 19 August 2025

[*BIS and stablecoins: Challenging the scorecard*](#), 9 July 2025

[*US – The crypto tipping point: Digital Assets Insights*](#), 24 June 2025

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